

JICA IS REBORN



Japan International Cooperation Agency (JICA) was reborn on October 1, 2008 following organizational reforms implemented by the Japanese government to improve the quality of Official Development Assistance (ODA) operations. As part of this realignment, the Overseas Economic Cooperation Operations of Japan Bank for International Cooperation (JBIC) and part of the grand aid provided by Japan's Ministry of Foreign Affairs (MOFA) will be integrated with the technical cooperation offered by JICA.

The new JICA will thus provide comprehensive assistance for developing countries by making the most of a broader range of aid instruments in an effective and efficient manner and a network of 100 overseas offices around the world.

India holds a very important place in ODA loan scheme of Japan. In fact, Japan started the ODA loans from India about five decades ago. "For the last five years, India has been the largest recipient of Japan's ODA loans. And in foreseeable future, it will remain so," said Mr. Hidetoshi Irigaki, chief representative of JICA in India.

India received \$2.2 billion (over Rs 10,000 crore) under Japan ODA loans in 2007-08, accounting for 20 per cent of the total ODA loans extended by Japanese government to developing countries.

Mr Irigaki said JICA's focus for funding projects in India is primarily in four areas – power, urban transportation (Delhi, Bangalore, Kolkata and Chennai metro rail projects), water supply & sewage and forestry.

JICA is also focusing to give technical assistance in the areas of agriculture and health. Mr Irigaki added that another focus area in the future will be projects in the area of climate change especially those pertaining to energy savings.

Overall, JICA has three schemes – technical cooperation (assistance extended to developing countries by dispatch of experts and volunteers, acceptance of trainees, various surveys etc), ODA loans (concessionary loans) and Grant aid (assistance extended without an obligation for repayment).

FORGING NEW PARTNERSHIPS IN BUSINESS



Economic and business relations between India and Japan are growing rapidly. Japan now looks at India as a big market as well as a manufacturing location which is not only cost effective to manufacture goods but also has a skilled labour and work force, which is particularly useful for Japanese companies. Constant improvement in infrastructure is making more and more Japanese companies to look at India as a manufacturing base.

The growing interest of Japanese companies in India is reflected in the 80 per cent rise in membership of Japan Chamber of Commerce and

Industry in India (JCCI) from 100 companies to more than 180 at present. Since JCCI is basically a Delhi-based organization, there are many more Japanese companies having business operations in other parts of the country.

Japanese experts feel if Indian government and industry bodies make more efforts to increase awareness of business opportunities among Japanese medium and small enterprises, it could result in more Japanese companies setting up businesses in India.

As JCCI president, Mr. Masayuki Yamamoto, said, "The Indian government has taken some steps. It can take more initiatives by simplifying visa issues. For example, it is difficult for Japanese working in India to extend visas and these issues are important to resolve especially from the point of view of medium and small enterprises."

Japanese SME companies think there are still a lot of hardships to doing business in India. Several Japanese SME companies have visited India to explore business opportunities but not many have set up offices or businesses in India. But if these companies understand India and the opportunities it offers, they must come and do business because opportunities in China and Japan are not as much.

India is gradually reducing taxes and is also simplifying tax laws, which is good. Japanese companies, however, say they still experience bureaucratic hurdles in India, especially at the state governments' level. Starting a business and obtaining various licenses from the state governments still takes a long time.

The influx of Indian software engineers and other professionals into Japan has helped bringing business people of both the countries together. It is estimated that nearly 20,000 Indian today live in Japan as compared to about 2,800 Japanese living in India.

Japan is an ageing community. It is necessary for Japan to open its doors for Indian people to work there, according to some Japanese experts. The Indian government has been requesting Japanese government to open up more working opportunities for Indians in Japan. It will not only be good for Indians but also for Japan in the long run. "We find that Indians working and living in India are generally law abiding. IT is one of the problems in Japan so it can provide for more Indians to work in Japan in the IT sector," said Mr Yamamoto.

Japanese investment into India has increased over the last few years. Initiatives like tie-ups between JETRO and RIICO (agency of Rajasthan state Government) to set up an exclusive Japanese investment zone in Rajasthan, are a good example.